

SECTION A – CASE QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Orchid Holdings Limited ("Orchid") is incorporated in Hong Kong. Orchid and its subsidiaries (the "Orchid Group") have a financial year end date of 31 March and apply Hong Kong Financial Reporting Standards in the preparation of financial statements. The presentation and functional currency of Orchid is determined to be Hong Kong Dollar ("HK\$"). The business model of the companies in the Orchid Group is to develop disruptive technologies through research activities such that the companies can produce ground-breaking products that change industries.

On 1 October 2022, Orchid acquired 80% of the ordinary shares of Peony Limited ("Peony") which is based in Quinceland. Peony qualified as a business in accordance with HKFRS 3 *Business Combinations*. Since then, Peony has become the only non-wholly owned subsidiary in the Orchid Group. Peony is also the only foreign subsidiary in the Orchid Group. The functional currency of Peony is determined to be Q\$, which is the currency in Quinceland.

Background of Peony

Modern cars are made up of thousands of different parts, all of which need to be sourced and manufactured. Suppliers in the automotive supply chain are categorised into three tiers; tier one suppliers build and supply finished components such as batteries to carmakers ready for vehicle assembly; tier two suppliers make necessary parts, such as semiconductors, but their components are not limited to cars; and tier three suppliers deal with raw materials, such as minerals, metals and plastics.

Peony is a tier one automotive supplier which supplies car parts to the largest car manufacturers who then build parts into their vehicles while they are on the production line. Peony deals only with car manufacturers, and its products are not for sale to the retail market as upgrades or replacements. Peony's vision is to become the industry leader in terms of innovation and product development.

Acquisition of Peony

On 1 October 2022, Orchid paid Q\$41,660,000 to the ex-shareholders of Peony to acquire 80% of Peony's ordinary shares (the "Mid-year Acquisition"). This amount included a reimbursement of the financial and legal due diligence costs, totalling Q\$200,000, incurred in the Mid-year Acquisition which was paid by the ex-shareholders of Peony before the acquisition date. The purchase price allocation exercise concluded that, on 1 October 2022, the fair value of Peony's recorded net assets was equal to their carrying amounts. However, Peony has an ongoing research project relating to its automated manufacturing processes ("Project IV") which commenced in September 2022. From the commencement of Project IV till 30 September 2022, Peony incurred a total cost of Q\$2,700,000. In accordance with HKAS 38 *Intangible Assets*, such costs were expensed as incurred. Project IV had a fair value of Q\$3,000,000 as at 1 October 2022. Project IV, which was still ongoing, was not impaired as at 31 March 2023.

To finance the Mid-year Acquisition, Orchid issued convertible bonds on 1 October 2022 (the "Convertible Bonds"). The Convertible Bonds have a three-year term. Interest is payable annually in arrears at a nominal annual interest rate of 3% p.a. Each bond is potentially convertible into ordinary shares of Orchid by the holders. Conversion may occur at any time until maturity. No conversion has been made for the six months ended 31 March 2023.

Orchid chose to measure the non-controlling interest in Peony at their proportionate share of the fair value of Peony's net identifiable assets at the acquisition date. The goodwill arising from the Mid-year Acquisition has not been impaired since the acquisition date.

The following exchange rates are relevant to the preparation of the consolidated financial statements of the Orchid Group:

Date	Q\$1 to HK\$
1 October 2022	4.5
Average rate for the 12 months ended 31 March 2023	4.6
Average rate for the 6 months ended 31 March 2023	4.4
31 March 2023	4.2

Selected financial information for Peony is as follows:

	For the six months ended 30 September 2022	For the six months ended 31 March 2023	For the year ended 31 March 2023
	<u>Q\$'000</u>	<u>Q\$'000</u>	<u>Q\$'000</u>
Revenue and other income	38,000	45,000	83,000
Expenses	(33,100)	(38,300)	(71,400)
Profit	<u>4,900</u>	<u>6,700</u>	<u>11,600</u>

	As at 30 September 2022	As at 31 March 2023
	<u>Q\$'000</u>	<u>Q\$'000</u>
Total assets	62,740	68,300
Total liabilities	14,740	13,600
Total equity		
Share capital	20,000	20,000
Retained earnings	<u>28,000</u>	<u>34,700</u>
	48,000	54,700

The following dialogue was extracted from a recent meeting of the audit committee of Orchid:

Alfred – Mr Alfred Li, chairman of the audit committee of Orchid

Bonnie – Ms Bonnie Wong, member of the audit committee of Orchid

Bonnie: It appears to me that, upon the issue of the Convertible Bonds, the proceeds should be split into liability and equity when presented on Orchid's statement of financial position.

Alfred: We cannot jump to this conclusion. We need to seek help from our Finance Department to provide further information before we reach this conclusion.

Framework Agreement between Peony and Rudbeckia Limited ("Rudbeckia")

On 1 November 2022, Rudbeckia, a world-leading car manufacturer with healthy financial conditions, approved Peony's offer to manufacture a specialised part for its driverless vehicles (the "Parts Auto"). Historical evidence suggested that Rudbeckia always paid Peony the amount due before the agreed date of payment.

Peony and Rudbeckia agreed that Peony would also perform engineering and design ("E&D") activities on behalf of Rudbeckia, necessary for producing the Parts Auto. Peony would then supply a customised prototype of the Parts Auto which resulted from the E&D activities. The framework agreement between Peony and Rudbeckia (the "Agreement") specified that Rudbeckia would have the right to the intellectual property resulting from Peony's E&D activities and Peony would be obliged to provide periodic updates on its development process. The Agreement guaranteed that Peony would be compensated for the costs of the E&D activities, including a reasonable margin upon satisfactory completion of the E&D activities, together with the delivery of the prototype. The Agreement also contained a termination clause under which Peony would be reimbursed for any costs incurred for the E&D activities if Rudbeckia terminated the agreement.

The Agreement set the general terms and conditions but did not state a minimum quantity of the Parts Auto to be ordered by Rudbeckia. Any subsequent purchase order in relation to the Parts Auto would be priced accordingly. Rudbeckia has a few automotive suppliers which are capable of producing parts with specifications similar to the Parts Auto.

Peony started performing the E&D activities after signing the Agreement, and such activities were completed on 31 January 2023. On the same day, Peony transferred the know-how arising from its E&D activities to Rudbeckia, together with the customised prototype. On 1 October 2023, Rudbeckia ordered 10,000 units of the Parts Auto.

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Question 1 (24 marks – approximately 44 minutes)

- (a) Based on the information provided in the scenario, explain how Orchid should determine:
- (i) the fair value of Peony's net identifiable assets in this Mid-year Acquisition at 1 October 2022; and
 - (ii) the consideration in this Mid-year Acquisition.

(10 marks)

Note: You are required to discuss the relevant issues with reference to the applicable financial reporting standard(s) and the accounting impacts to Orchid. You should ignore taxation implications in Question 1.

- (b) With supporting workings, calculate the following items to be presented on the consolidated statement of financial position of the Orchid Group as at 31 March 2023:
- (i) goodwill arising from the Mid-year Acquisition;
 - (ii) foreign translation reserve; and
 - (iii) non-controlling interest.

(14 marks)

Note: You may present your supporting calculations in the form of consolidation adjustment journal entries, together with the translated financial statements of Peony.

Question 2 (13 marks – approximately 23 minutes)

With reference to HKFRS 15 *Revenue from Contracts with Customers*, and from the perspective of Peony, advise:

- (a) whether a contract existed upon signing the Agreement on 1 November 2022 for (i) the sale of Parts Auto and (ii) the E&D activities; and
- (b) whether the pre-production E&D activities and the supply of the prototype of the Parts Auto should be separate performance obligations.

(13 marks)

Note : A maximum of 2 marks for analytical skill will be awarded.

Question 3 (4 marks – approximately 7 minutes)

With reference to the information provided in the scenario, explain how ONE of the capitals in integrated reporting can supplement traditional financial reporting of research and development activities of an entity.

(4 marks)

Question 4 (9 marks – approximately 16 minutes)

Analyse the accounting treatments of the Convertible Bonds in the books of Orchid upon initial recognition. If additional information is required in such an analysis, state what information is needed, and how such information may affect the initial measurement of the Convertible Bonds.

(9 marks)

Note: You are not required to discuss how the Convertible Bonds are to be subsequently measured. You can ignore taxation implications and transaction costs in issuing the Convertible Bonds in Question 4.

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End of Section A

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SECTION B – ESSAY / SHORT QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (18 marks – approximately 32 minutes)

Real Living Limited ("RLL") is a limited company in the property development business with a financial year end date of 31 December. The company applies the fair value model to measure its investment properties and the revaluation model for items under property, plant and equipment ("PPE").

RLL has recently been working with a new strategic partner, Promo Pro Limited ("PPL"), which is strong in marketing and promotion. When PPL's marketing director, Sid Wong, came on to the board of RLL, he made some comments on the accounting treatment that need your help to be resolved. His comments are as follows:

"I heard that there is no need to depreciate if the investment properties or PPE are being recorded at fair value. In that case we don't really need to consider impairment, while any revaluation surplus will go to profit or loss only on disposal, is that right? And, I also heard from a talk that we need to group things into different levels under the fair value hierarchy disclosures. I guess for investment properties, they must be under Level 1, as their prices are quoted in the market."

On 14 February 2023, RLL underwent a share split – each share was split into 4 with no consideration.

Required:

- (a) **Advise and explain whether you agree with Sid's comments on the accounting treatments of (i) investment properties and (ii) PPE.**
(9 marks)
- (b) **Advise whether you agree with Sid that investment properties should be grouped under Level 1 in the fair value hierarchy disclosure.**
(6 marks)
- (c) **Advise on the impact to the financial statements, if any, of the share split on the calculation of earnings per share (EPS) for the year ended 31 December 2022 if the financial statements were authorised for issue on 28 February 2023. No calculations are required.**
(3 marks)

Question 6 (21 marks – approximately 38 minutes)

Sophia Limited ("SL") provides educational services to learners in Hong Kong. The courses and tuition services are provided on a premise owned by Luiz Limited ("LL"), a third-party property developer. The premise is a co-work space fitted out by LL with 100 desks, and LL's customers are free to utilise the facilities so long as the area is not being designated for exclusive use. The key features of each of the arrangements between SL and LL under a 2-year Master Agreement are as follow:

Hot desks for individual tuition services

SL provides individual tuition service with its pool of tutors. Student can choose the desk that they want to use for individual tuition classes and SL will be billed by LL at each month end based on the number of hours each student occupies a desk. While SL is charged HK\$30 per hour per desk, LL has no control over the price / pricing mechanism that SL applies in charging its students.

Spaces for short-term events

SL periodically holds seasonal events that occupy one of the meeting rooms that is specially renovated to provide a soothing atmosphere. There are no other rooms on the premise that can be used for this purpose. Whenever the need arises, SL can enter into a further supplementary agreement with LL, usually lasting up to 2 months each time, to exclusively occupy that particular room for its own purposes at HK\$2,000 per month. It is expected SL will only use the room for up to 10 months in total during the 2-year term under the Master Agreement. For the rest of the time, LL is free to deploy the room at its own discretion.

Designated rooms for recurring programmes

SL also provides recurring programmes in designated rooms on the premise. These rooms are exclusively used by SL for its own purposes at a consideration of HK\$30,000 per month for a term of 2 years. The arrangement is non-cancellable.

Overall

Under each of the above, SL can only have access to use the facilities between 9 am to 11 pm and is required to restore the facilities to their original state after use.

Elizabeth Lung, Finance Manager of SL, thinks that there is no lease under the arrangement. She also believes that the considerations paid for accessing the facilities could be expensed as incurred. She is seeking advice from you, Asuka Chan, the company's accounting consultant, in an email.

Required:

In response to Elizabeth's comments:

- (a) Evaluate whether each of the above arrangements contains a lease under HKFRS 16 *Leases*.
(15 marks)
- (b) Advise whether you agree with Elizabeth's comments in respect of the accounting treatment of the considerations to be paid under each of the above arrangements and, if not, how SL should account for them instead.
(6 marks)

Note: A maximum of 2 marks for communication skills will be awarded.

Question 7 (11 marks – approximately 20 minutes)

Gold Fox Group Limited (the "Company"/"GF") and its subsidiaries (collectively the "Group") is a conglomerate listed on the Hong Kong Stock Exchange Limited. The Group operates across a number of industries all around the world. The Group presents its management accounts based on the recognition and measurement principles under HKFRS, with operating segments being grouped based on business components. Such information is reviewed by the Group's Executive Committee regularly. The Group's operating segment disclosures in its published financial statements follow the way it is presented in the management accounts.

The Company is ultimately owned by Mr Jin Wu, who is also the Chairman. With his dominant shareholding and aggressive character, Jin often overrides decisions made by the Executive Committee. When making decisions over resource allocation, he disregards the management accounts that are used by the Executive Committee. Instead, Jin requests the finance department to further break down the operating segment information by geographical areas for his own review.

Ari Lam is the new CFO of the Company, and he is reviewing the draft operating segment disclosures for the purposes of year-end reporting. In view of how GF is being managed and the information that is used by management, Ari believes GF should revise their draft disclosures, especially regarding to the identification of operating segments based on the requirements under the relevant financial reporting standard.

Ari tried to make an appointment with Jin to discuss the matter. But the response he obtained was, "There is no need to go back to review the presentation as it is similar to how it was done in previous years. Any changes could affect the share price and the vesting of your share-based payments."

Both Jin and Ari are members of the Hong Kong Institute of Certified Public Accountants.

Required:

- (a) Advise Ari as to the ethical issues that he needs to face in this case in accordance with the Code of Ethics of Professional Accountants ("the Code") and the corresponding actions Ari should consider. (5 marks)
- (b) Evaluate and explain whether you agree with Ari that the Company's operating segment disclosure needs to be revised. (6 marks)

Note: You are not required to draft any disclosures.

* * * END OF EXAMINATION PAPER * * *